

You've heard this phrase so often – it is not market timing but time in the market that matters. ***Time in the market matters because it smoothens out the volatility of the market.*** Which is why you should not put money into the equity market if you need it next year.

Equity vs real estate

Ask any group of people what gives the highest return, and nine out of ten will say real estate. The tenth will name gold as the best investment. Mention stocks or equity, and the response is either hostile, due to the stock-market-related scams (including the unpunished scam of unit-linked insurance plans), or fearful.

Every time I speak to a group, I get the same response: a sure thing with real estate and gold, and an overall feeling of mistrust with equity. Let's unpack this a bit. Let's look at return rates. I will do this in two parts.

One, historical returns. If we begin with the Sensex in June 1980 at 127.9 (Sensex was at 100 on 1 April 1979) as a starting point for a meaningful comparison, and look at returns across the market, real estate and gold, we get a positive return for all three.

Investment in gold, as we saw above, has been positive in the long term, but has gone into negative territory if the investment was made at the gold peak in 2012. Investment in the Sensex returned around 16 per cent per year over the same period, that is between 1979 and 2018.

Tracking real estate is tougher due to lack of data and location issues. So I picked the village where buffaloes bathed earlier but which has turned to a boomtown now, i.e., Gurgaon, to see what the price change has been. Speaking to original inhabitants from the 1980s of what is now DLF City, I get rough rates of an investment of Rs 2 lakhs turning into Rs 2 crores over thirty-four years, or an average annual growth rate of 15 per cent.

But remember, both gold and real estate have high transaction costs that equity does not have. The returns in hand in both cases will be lower than with equity.